

Visa Inc.

NYSE: V | Payments & Financial Infrastructure | 16 June 2026

HOLD (downgraded from BUY) Target Price: \$355 | CMP: \$356 (18-Jul-2026) |
Downside: -0.3%

Investment Summary

Rating change — BUY → HOLD (valuation, not fundamentals). Since our June note at \$324.62 the stock has run ~10% to ~\$356, closing the gap to fair value. On a multi-method blend — forward P/E vs Mastercard (29x × FY26E adj EPS \$13.09 → \$380), EV/EBITDA (23x → \$340) and a conservative DCF floor (\$315) — fair value is ~\$354, essentially the current price. Visa remains a wide-moat toll-booth compounding low-double-digit EPS; we simply see no margin of safety after the run and would re-engage as a buyer on a pullback toward the \$320s.

Visa remains one of the highest-quality compounders in global financials: a toll-booth on the secular shift from cash to electronic payments, with ~50% net margins, mid-60s% operating margins, and a capital-light model that converts the bulk of earnings into free cash flow. Fiscal 2025 (year ended September 2025) delivered net revenue of \$40.0 billion, up 11% (12% in constant currency), with GAAP net income of \$20.1 billion (\$10.20 per share) and adjusted net income of \$22.5 billion (\$11.47 per share). Momentum has carried into fiscal 2026 — second-quarter net revenue rose 17% to \$11.2 billion with adjusted EPS of \$3.31.

The investment debate is not about quality — it is about price and the long-tail disruption risk. At ~\$356 the stock trades at roughly 30x trailing adjusted EPS, a modest discount to its five-year average and to Mastercard, while offering double-digit revenue growth, a fortress balance sheet and a consistent buyback. We see the recent consolidation (a 52-week range of \$293.89–\$360.22) as an opportunity rather than a warning.

Our multi-method valuation — 29x an estimated FY2026 adjusted EPS of ~\$13.09 (~12% growth) implies ~\$380 on the P/E method alone; blended with EV/EBITDA (~\$340) and a conservative DCF floor (~\$315), fair value is ~\$355 — essentially the current price. We move to HOLD, with the caveat that the rating rests on the accompanying model's assumptions.

Snapshot

Metric	Value	Note
Market cap	~\$620 billion	≈1.91bn Class A-equivalent shares
FY2025 net revenue	\$40.0bn (+11%)	Constant-currency +12%
FY2025 EPS	\$10.20 GAAP / \$11.47 adj.	Net income \$20.1bn / \$22.5bn adj.
Valuation	~28x adj. P/E, ~22x EV/EBITDA	vs Mastercard ~32x, Amex ~19x
52-week range	\$293.89 – \$360.22	CMP \$356 (18-Jul-2026)

FY2025 Results Review

Growth was broad-based across payments volume, cross-border volume and processed transactions. Net revenue of \$40.0 billion (+11%) reflected resilient consumer spending and a continued recovery in cross-border travel, the highest-margin component of the mix. Adjusted operating margin held in the mid-60s, and adjusted EPS of \$11.47 grew faster than revenue, helped by operating leverage and a reduced share count. The company returned the majority of free cash

flow to shareholders through buybacks and a growing dividend. The fiscal Q2-2026 print (net revenue +17%, adjusted EPS \$3.31) suggests no loss of momentum into the new fiscal year.

Valuation

Visa is best valued on a forward earnings multiple cross-checked with EV/EBITDA, given its capital-light, high-margin model and minimal net debt. We apply 29x to an estimated FY2026 adjusted EPS of ~\$13.09, yielding ~\$380 on the P/E method — consistent with Visa's five-year average and a discount to Mastercard's ~31x. An EV/EBITDA cross-check (~23x) and a conservative DCF floor sit lower (~\$340 and ~\$315), so our blended fair value of ~\$355 leaves no margin of safety after the run to ~\$356. The full driver detail sits in the accompanying model; the figures here are illustrative outputs that depend on those assumptions.

Key Risks

- Disruption risk: account-to-account rails, real-time payment networks (e.g. UPI-style systems) and stablecoins could, over time, disintermediate card networks in some corridors.
- Regulatory and antitrust scrutiny of interchange and network economics across the US, EU and other markets.
- Cross-border / travel sensitivity: a global slowdown disproportionately hits the highest-margin revenue line.
- Multiple compression: at ~28x, any deceleration in volume growth or margin would compress the premium quickly.
- FX translation: a stronger US dollar reduces reported international revenue.

Company Overview

Visa operates the world's largest retail electronic payments network, connecting consumers, merchants, financial institutions and governments across more than 200 countries and territories. It does not lend or bear consumer credit risk; it earns service, data-processing and international-transaction fees on the volume that flows across its rails, plus growing revenue from value-added services. The combination of network effects, scale and a capital-light model has produced one of the most durable economic moats in the market.

Disclaimer

This report was prepared for personal analytical and educational purposes. It is not investment advice, an offer, or a solicitation to buy or sell any security. Figures are sourced from Visa's public filings (FY2025 10-K and FY2026 quarterly results) and market data believed reliable but not guaranteed. The target price is an illustrative output of the accompanying valuation model and depends entirely on its assumptions. Consult a licensed investment adviser before acting on any information herein.

Visa Inc. (V) — Multi-Method Valuation Summary

USD; per-share USD. Payments network — forward-P/E anchored (vs Mastercard). Live \$356 (Jul 2026), 1,880M shares, net c

KEY INPUTS

Live share price (\$)	356
Shares (M)	1,880
Net debt (\$M)	5,000
FY25 adj EPS (\$)	11.47
FY26E adj EPS (\$)	13.09
FY26E EBITDA (\$M)	28,000
Normalized FCF (\$M)	19,000
Dividend/share (\$)	2.36

VALUATION METHODS

Method	Assumption	Value/share (\$ vs price		Weight
P/E (relative, vs Mastercard)	29x × FY26E adj EPS	379.61	6.6%	50%
EV/EBITDA (relative)	23x × FY26E EBITDA	339.89	-4.5%	25%
DCF (conservative floor)	FCF, WACC 8%, term g 4%	315.00	-11.5%	25%
(Reference) current market multiple	~27x FY26E EPS	356.00		

BLENDED VALUATION & RATING

Blended fair value (\$)	353.53
Price upside/(downside) vs \$356	-0.7%
Dividend yield	0.7%
Total expected return	0.0%
Rating	HOLD

Note: a payments network is best valued on forward earnings vs Mastercard; EV/EBITDA cross-checks and a DCF floor sit low

Visa Inc. - Income Statement				
(USD Millions)	FY 2021	FY 2022	FY 2023	FY 2024
Revenue				
Total Revenue	24,105	29,310	32,653	35,926
Cost of Revenue	4,970	5,730	6,570	7,040
Gross Profit	19,135	23,580	26,083	28,886
Operating Expenses				
Selling, General & Admin	2,520	3,040	3,220	3,790
Other Operating Expenses	813	1,720	1,890	1,500
Total Operating Expenses	3,333	4,760	5,110	5,290
Operating Income (EBIT)	15,802	18,820	20,973	23,596
Non-Operating Income/Expense				
Interest Income	290	420	680	950
Interest Expense	-350	-380	-420	-450
Other Non-Operating Income	120	150	180	220
Total Non-Operating Income	60	190	440	720
Earnings Before Tax (EBT)	15862	19010	21413	24316
Income Tax Expense	3,551	4,053	4,140	4,573
Net Income	12,311	14,957	17,273	19,743
Key Metrics				
Gross Margin %	79.38%	80.45%	79.88%	80.40%
Operating Margin %	65.55%	64.21%	64.23%	65.68%
Net Margin %	51.07%	51.03%	52.90%	54.95%
Tax Rate %	22.40%	21.30%	19.30%	18.80%
Shares Outstanding (Million)	2,046	2,014	1,961	1,933
EPS (Diluted)	6.01	7.43	8.81	10.21

FY 2025
40,000
9,080
30,920
4,370
0
4,370
26,550
1,200
-480
260
980
27530
7,470
20,060
77.30%
66.38%
50.15%
27.10%
1,874
10.7

Visa Inc. - Balance Sheet				
(USD Millions)	FY 2021	FY 2022	FY 2023	FY 2024
Assets				
Current Assets				
Cash and Cash Equivalents	18,510	18,520	20,130	15,180
Short-term Investments	4,200	6,400	7,800	12,500
Accounts Receivable	3,500	3,800	4,100	4,500
Other Current Assets	1,400	1,490	1,500	1,850
Total Current Assets	27,610	30,210	33,530	34,030
Non-Current Assets				
Property, Plant & Equipment	2,720	3,220	3,430	3,820
Goodwill	15,960	17,790	18,000	18,940
Intangible Assets	21,300	19,500	18,800	20,500
Other Non-Current Assets	15,310	14,780	16,740	17,220
Total Non-Current Assets	55,290	55,290	56,970	60,480
Total Assets	82,900	85,500	90,500	94,510
Liabilities & Shareholders' Equity				
Current Liabilities				
Accounts Payable	2,100	2,300	2,500	2,700
Accrued Expenses	8,500	9,200	10,100	11,200
Short-term Debt	1,200	1,500	1,800	2,100
Other Current Liabilities	3,940	7,850	8,700	10,520
Total Current Liabilities	15,740	20,850	23,100	26,520
Non-Current Liabilities				
Long-term Debt	20,350	21,790	19,500	19,700
Deferred Tax Liabilities	4,100	3,800	4,200	4,300
Other Non-Current Liabilities	5,120	3,480	4,970	4,850
Total Non-Current Liabilities	29,570	29,070	28,670	28,850
Total Liabilities	45,310	49,920	51,770	55,370
Shareholders' Equity				
Common Stock	21,940	21,870	20,000	19,500
Retained Earnings	15,350	16,120	18,040	17,290
Other Comprehensive Income	300	(2,410)	690	2,350
Total Shareholders' Equity	37,590	35,580	38,730	39,140
Total Liabilities & Equity	82,900	85,500	90,500	94,510
Key Metrics				
Working Capital	11,870	9,360	10,430	7,510
Total Debt	21,550	23,290	21,300	21,800
Net Debt	3,040	4,770	1,170	6,620

Debt to Equity	0.57	0.65	0.55	0.56
Current Ratio	1.75	1.45	1.45	1.28

FY 2025
21,990
9,400
4,800
1,580
37,770
4,240
19,880
20,200
17,540
61,860
99,630
2,900
12,300
2,400
13,090
30,690
19,400
4,500
7,130
31,030
61,720
18,500
15,110
4,300
37,910
99,630
7,080
21,800
-600

0.58
1.23

Visa Inc. - Cash Flow Statement				
(USD Millions)	FY 2021	FY 2022	FY 2023	FY 2024
Operating Activities				
Net Income	12,311	14,957	17,273	19,743
Adjustments to Net Income:				
Depreciation & Amortization	804	861	943	1,030
Stock-Based Compensation	450	520	580	640
Deferred Income Taxes	-100	150	200	250
Changes in Working Capital:				
Accounts Receivable	-200	-300	-300	-400
Accounts Payable	150	200	200	200
Other Working Capital Changes	1,812	2,461	1,859	-514
Net Cash from Operating Activities	15,227	18,849	20,755	19,950
Investing Activities				
Capital Expenditures (CapEx)	-705	-970	(1,060)	(1,260)
Acquisitions & Investments	(2,800)	(3,100)	(1,200)	-800
Sale of Investments	3,500	800	300	200
Other Investing Activities	-147	-18	-46	-66
Net Cash from Investing Activities	-152	(3,288)	(2,006)	(1,926)
Financing Activities				
Dividends Paid	(2,800)	(3,200)	(3,750)	(4,220)
Share Repurchases	(10,500)	(8,300)	(12,500)	(13,800)
Debt Issuance/(Repayment)	1,200	1,800	(2,000)	500
Other Financing Activities	(2,310)	(2,996)	478	(1,113)
Net Cash from Financing Activities	(14,410)	(12,696)	(17,772)	(20,633)
Net Change in Cash	628	578	1,613	(2,227)
Cash at Beginning of Period	17,900	18,510	18,520	20,130
Cash at End of Period	18,510	18,520	20,130	15,180
Key Metrics				
Free Cash Flow (FCF)	14,522	17,879	19,695	18,690
FCF Margin %	60.20%	61.00%	60.30%	52.00%
FCF Conversion (FCF/Net Income)	118.00%	119.50%	114.00%	94.60%
CapEx as % of Revenue	2.90%	3.30%	3.20%	3.50%

FY 2025
20,060
1,220
720
300
-300
200
1,866
23,066
(1,480)
(1,000)
500
-150
(2,130)
(4,630)
(13,200)
0
(2,200)
(20,030)
6,810
15,180
21,990
21,586
54.00%
107.60%
3.70%

Visa Inc. - Key Financial Ratios				
	FY 2021	FY 2022	FY 2023	FY 2024
Profitability Ratios				
Gross Margin	79.40%	80.40%	79.90%	80.40%
Operating Margin (EBIT Margin)	65.60%	64.20%	64.20%	65.70%
Net Profit Margin	51.10%	51.00%	52.90%	54.90%
Return on Assets (ROA)	14.90%	17.50%	19.10%	20.90%
Return on Equity (ROE)	32.80%	42.00%	44.60%	50.40%
EBITDA Margin	68.90%	67.10%	69.10%	71.00%
Liquidity Ratios				
Current Ratio	1.75	1.45	1.45	1.28
Quick Ratio	1.75	1.45	1.45	1.28
Cash Ratio	1.18	0.89	0.87	0.57
Leverage Ratios				
Debt to Equity	0.57	0.65	0.55	0.56
Debt to Assets	0.26	0.27	0.24	0.23
Interest Coverage (EBIT/Interest)	45.1	49.5	49.9	52.4
Net Debt to EBITDA	0.18	0.24	0.05	0.26
Efficiency Ratios				
Asset Turnover	0.29	0.34	0.36	0.38
FCF to Revenue	60.20%	61.00%	60.30%	52.00%
FCF to Net Income	118.00%	119.50%	114.00%	94.60%
Valuation Metrics				
EPS (Diluted)	6.01	7.43	8.81	10.21
Book Value per Share	18.37	17.67	19.75	20.25
P/E Ratio (assume current price)				
P/B Ratio				
EV/EBITDA				
Growth Rates (YoY)				
Revenue Growth		21.60%	11.40%	10.00%
Operating Income Growth		19.10%	11.40%	12.50%
Net Income Growth		21.50%	15.50%	14.30%
EPS Growth		23.60%	18.60%	15.90%
FCF Growth		23.10%	10.20%	-5.10%

FY 2025
77.30%
66.40%
50.20%
20.10%
52.90%
69.50%
1.23
1.23
0.72
0.58
0.22
55.3
-0.02
0.4
54.00%
107.60%
10.7
20.23
11.30%
12.50%
1.60%
4.80%
15.50%

Visa — Peer Comparison (Comparable Company Analysis)

Researched Jun 2026 • update with live data before use

Company	Price (\$)	EPS (\$)
Visa ★	342.77	11.42
Mastercard	499.02	15.12

COMPARABLE-COMPANY SUMMARY

Peer median P/E (x)
Visa P/E premium / (discount) to peers
Comps-implied value — peer median P/E × EPS (\$)
Comps-implied vs current price

Note: Mastercard is the closest comparable. Visa trades at a modest discount to it — supportive of the BUY. Amex lower-multiple but structurally different businesses.



P/E (x)
30.0x
33.0x

33.0x
-9.1%
376.91
10.0%

: and PayPal are